

It seems crazy. But if you desperately need a solution and a good one isn't known or readily available to you, the path of least resistance is toward Hajaji's reasoning: willing to believe anything. Not just try anything, but believe it.

Chronicling the Great Plague of London, Daniel Defoe wrote in 1722:

The people were more addicted to prophecies and astrological conjurations, dreams, and old wives' tales than ever they were before or since ... almanacs frightened them terribly ... the posts of houses and corners of streets were plastered over with doctors' bills and papers of ignorant fellows, quacking and inviting the people to come to them for remedies, which was generally set off with such flourishes as these: 'Infallible preventive pills against the plague.' 'Neverfailing preservatives against the infection.' 'Sovereign cordials against the corruption of the air.'

The plague killed a quarter of Londoners in 18 months. You'll believe just about anything when the stakes are that high.

Now think about how the same set of limited information and high stakes impact our financial decisions.

Why do people listen to TV investment commentary that has little track record of success? Partly because the stakes are so high in investing. Get a few stock picks right and you can become rich without much effort. If there's a 1% chance that someone's prediction will come true, and it coming true will change your life, it's not crazy to pay attention—just in case.

And there are so many financial opinions that once you pick a strategy or side, you become invested in them both financially and mentally. If you want a certain stock to rise 10-fold, that's your tribe. If you think a certain economic policy will spark hyperinflation, that's your side.

These may be low-probability bets. The problem is that viewers can't, or don't, calibrate low odds, like a 1% chance. Many default to a firm belief that what they want to be true is unequivocally true. But they're only doing that because the possibility of a huge outcome exists.

Investing is one of the only fields that offers daily opportunities for extreme rewards. People believe in financial quackery in a way they never would for, say, weather quackery because the rewards for correctly predicting what the stock market will do next week are in a different